

invasion, a situation worsened a year later by the Israel–Gaza conflict. Spikes in global food and crude oil prices added to the complexity, turning monetary policymaking particularly challenging.

“Every day turned into an exercise in anticipating where the next challenge might emerge. The only way forward was to stay proactive, prepare for every possible risk, and build resilience strong enough

BUILDING BUFFERS

Scarred by the crises Das inherited, the RBI focused on strengthening India’s resilience to external events. It built up foreign exchange reserves to around \$700 billion by the end of his tenure, with an increase of nearly \$65 billion in 2024 alone—second only to China among major reserve-holding economies. This allowed the RBI to manage external shocks while ensuring the rupee was among the most stable emerging-

long-term hedge against global uncertainty, became an integral part of reserve deployment. From its gold reserves held abroad, the RBI bought 100 tonnes of gold in 2023 and another 100 tonnes in 2024. It felt there was no need to keep such large quantities abroad, beyond a minimum buffer. It repatriated a portion to India, given the country’s storage capacity.

Beyond UPI and digital-payment initiatives, the RBI moved ahead of many advanced economies in exploring a central bank digital currency (CBDC). It launched a pilot, with the e-rupee made interoperable with UPI. “We wanted to be among the pioneers—ready early rather than starting after others had already moved ahead,” he says.

A TOUGH CENTRAL BANKER

During Das’s tenure, the RBI signalled a shift towards tough regulatory enforcement. There were unprecedented actions against banks, card networks, NBFCs, and fintech firms. The message was clear; compliance is non-negotiable, and customer interest is paramount.

Das also simplified the central bank’s messaging, making complex monetary policy concepts more direct, accessible, and understandable to the wider public. The idea was to demystify monetary policy and other regulatory actions.

With the distance of time, his six-year innings looks steady and well-managed. Das—the second-longest serving Governor after Benegal Rama Rau—faced bouncers, swing, and was constantly under pressure, yet remained calm and guided the economy through some of its toughest phases. **BT**

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to withstand whatever came next,” observes Das.

The situation called for close coordination between the RBI and the government. The RBI focused on anchoring inflation expectations and managing demand through monetary policy, while the government addressed supply-side pressures.

“I do not see growth and inflation as conflicting objectives. For long-term growth to be sustainable, inflation must remain under control. High inflation erodes people’s purchasing power and, over time, discourages investment,” says Das.

market currencies.

The payoff was evident after the Russia-Ukraine war: despite outflows, there was no panic. “The market knew the RBI was sitting on a pile of reserves and that India could meet its external payment obligations,” he adds.

The RBI pursued a calibrated approach. It curbed excessive volatility in the rupee while allowing a gradual, orderly depreciation to preserve export competitiveness.

A key element of this strategy was diversification. After a long pause following the 2011 IMF gold purchase, the RBI resumed buying gold in December 2018; it has since added steadily. Gold, viewed as a